

Multiple Choice

1. **Answer:** B

Options: A) 0.5; B) 125; C) 500; D) 0.8; E) 100

Note: The GDP Deflator is calculated by dividing nominal GDP by real GDP and then multiplying by 100, so with nominal GDP at 5000 and real GDP at 4000, the calculation $(5000/4000) * 100$ equals 125.

2. **Answer:** A

Options: A) \$1.5 billion; B) \$8.5 billion; C) \$0.85 billion; D) \$15 billion; E) \$56.67 billion

Note: The correct answer is 1.5 billion because with a marginal propensity to consume of 0.85, the tax cut leads to 1.5 billion, reflecting the relationship between consumption and savings in the economy.

3. **Answer:** E

Options: A) the anticipated inflation rate plus the nominal interest rate; B) the nominal interest rate multiplied by the inflation rate; C) what one sees when looking at bank literature; D) the anticipated inflation rate minus the nominal interest rate; E) the nominal interest rate minus anticipated inflation

Note: The real interest rate is defined as the nominal interest rate adjusted for anticipated inflation, which reflects the true cost of borrowing and the real yield to lenders after accounting for the erosion of purchasing power due to inflation.

4. **Answer:** A

Options: A) Overproduction and wastage of crops; B) Lack of alternative employment; C) Excessive government intervention in agriculture; D) Inefficient farming methods; E) Low income of farmers

Note: The correct answer highlights that the farm problem involves overproduction and wastage of crops, which illustrates how resources are not being allocated efficiently, leading to surplus and inefficiencies in agricultural production.

5. **Answer:** A

Options: A) It will not be unbiased or efficient; B) It will be consistent and efficient but not unbiased; C) It will be efficient but not consistent or unbiased; D) It will be efficient and unbiased but not consistent; E) It will be consistent and unbiased but not efficient

Note: The presence of multicollinearity among independent variables in a regression model can lead to inflated standard errors, making the ordinary least squares (OLS) estimator inefficient and potentially biased, as it becomes difficult to isolate the individual effects of correlated predictors.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: A decrease in the price of an inferior good can lead to a decrease in quantity demanded because the income effect, which increases the consumer's real income and may lead them to purchase less of the inferior good, can outweigh the substitution effect that typically encourages increased consumption due to the lower price.

7. **Answer:** True

Options: A) True; B) False

Note: An increase in the price of tea makes it relatively more expensive for consumers, leading them to seek alternatives, such as coffee, thereby increasing the demand for coffee as a substitute.

8. **Answer:** True

Options: A) True; B) False

Note: The removal of a protective tariff on imported steel increases allocative efficiency by allowing domestic and foreign producers to compete on a level playing field, thus leading to more optimal resource allocation based on consumer preferences rather than artificially inflated prices.

9. **Answer:** True

Options: A) True; B) False

Note: The purchase of a second-hand painting does not contribute to current economic production because GDP measures the value of new goods and services produced within a specific time period, and transactions involving used goods do not reflect current economic activity.

10. **Answer:** False

Options: A) True; B) False

Note: The entry of new firms into a monopolistically competitive industry increases competition, which can lead to changes in pricing strategies and potentially affect the cost structures of existing firms due to shifts in demand and the need for efficiency improvements.

Long Form Response

11. **Answer:** Structural unemployment occurs when there is a mismatch between the skills of the workforce and the demands of the labor market, often due to technological advancements or shifts in consumer preferences. The case of a dark room technician losing his job due to the decline of film cameras exemplifies this phenomenon, as the demand for traditional photography services diminished in favor of digital technology, leaving workers with skills that are no longer relevant. This situation highlights broader economic implications, such as the need for workforce retraining and adaptability in response to technological changes, as well as the potential for increased inequality if

displaced workers cannot transition to new roles. Furthermore, it underscores the importance of understanding labor market dynamics in crafting policies that support affected individuals and promote economic resilience.

Note: The answer correctly identifies structural unemployment as a result of a skills mismatch due to technological advancements, using the decline of film cameras as a specific example that illustrates the broader economic implications of changing labor market demands.

12. **Answer:** In the context of aggregate demand, imports are subtracted because they represent spending on foreign goods, which stimulates production in other countries rather than domestically. This outflow of spending not only reduces the overall demand for domestic goods but can also negatively impact domestic employment as local industries may see a decline in sales and, consequently, job opportunities. Conversely, exports are added to aggregate demand as they signify domestic goods sold to foreign markets, thereby increasing domestic production and potentially creating jobs within the local economy. By promoting exports, a nation can enhance its economic growth, balance its trade, and support local employment, illustrating the importance of these components in calculating aggregate demand.

Note: correct because it accurately reflects the economic principle that imports reduce domestic aggregate demand and employment by directing consumer spending away from local production, while exports enhance aggregate demand and support domestic employment by increasing demand for domestic goods in foreign markets.